

SUPREME COURT OF THE STATE OF NEW YORK
COUNTY OF ALBANY

In the Matter of the Application of

ORGANIC BLOOMS, LLC, NIAGRA NUGGET,
LLC, BLACKMARK, LLC, and WINDWARD
MANAGEMENT, LLC

Petitioners-Plaintiffs,

*For a Judgment Pursuant to Article 78 of the Civil
Practice Law and Rules and a Declaratory Judgment
Pursuant to CPLR 3001,*

-against-

NEW YORK STATE CANNABIS CONTROL
BOARD and NEW YORK STATE OFFICE OF
CANNABIS MANAGEMENT,

Respondents-Defendants.

AFFIRMATION

Index No. 904497-24

Patrick Mckeage, affirms the following under the pains and penalties of perjury:

1. I am currently employed by the New York State Office of Cannabis Management (the "Office") and my position is Director of Regulatory Operations. In this position, my duties and responsibilities include, but are not limited to, leading priority projects as directed by the Executive Director, who in turn is directed by the Cannabis Control Board (the "Board"); directing the day-to-day operations of the Office; overseeing the day to day operations of each of the units within the Office, including the licensing unit; reviewing and developing criteria for evaluating unit performance and supervising staff; coordinating and managing workflow and process between and among all Office units, including relating to review of applications and issuing licenses; coordinating work and communications with the Board,; and representing the Office in high-level meetings with the Governor's Office and other State agencies.

2. My statements herein are based on my personal knowledge deriving from my position as Director of Regulatory Operations at the Office and relevant materials consisting of the exhibits and authorities cited herein.

3. I submit this Affirmation in support of Respondents' answer to the verified petition.

Conditional Adult-Use Retail Dispensary (CAURD) Licenses

4. From August 25, 2022, through September 26, 2022, the Office accepted applications for Conditional Adult-Use Retail Dispensary ("CAURD") licenses, the first set of adult-use retail cannabis dispensary licenses issued in New York State.

5. CAURD was a temporary program which allowed businesses meeting certain criteria to apply for adult-use retail dispensary licenses.

6. To be eligible for a CAURD license, applicants had to be, among other things, at least thirty percent owned by an individual who has "sole control" of the business, and be "justice involved."

7. These criteria were designed to advance the restorative justice goals of the Marijuana Regulation and Taxation Act by affording individuals who are disproportionately impacted by the prior criminalization of marijuana the opportunity to enter the retail dispensary market.

8. In particular, as discussed in more detail below, CAURD's two phase process opened licensure to applicants of more limited means, since otherwise, securing a location is the single most capital-intensive step in the application process. Without some pathway that permitted those of more modest means to apply for a dispensary license, licensure would be limited to those with ready access to capital or the contacts to secure it quickly, thereby undermining the legislative intent of creating an equitable cannabis industry.

CAURD Application Process

A. Application— Part I – Provisional Approval for a License

9. To obtain a CAURD license, applicants must complete a two-part application process, beginning with an application being submitted to the Office online through New York State Business Express. *See Completing Your CAURD Application FAQ*, attached hereto as **Exhibit A**.

10. The Office’s licensing team subsequently reviews the submissions to the first part of the application, and if it meets the required criteria and scores high enough to be considered for a provisional approval, the Office recommends to the Board that the applicant receive a provisional license.

11. If the Board agrees with the Office’s recommendation to provisionally approve an applicant, that applicant will receive a “provisional license”.

12. Being issued a provisional license only means that the applicant scored high enough on the first part of its application that it has an opportunity to proceed with completing the second part of the application and all activities that lead up to being permitted to operate a dispensary. During the provisional period while an applicant is provisionally licensed, they do not yet have a certificate of licensure and they cannot yet sell cannabis products or otherwise engage in any activities associated with operating a dispensary. In order to operate as a dispensary, the Board or Office must grant the provisionally approved applicant a full license to operate as described below.

13. Furthermore, no retail dispensary location is associated with the issuance of a provisional license.

14. As such, receiving a provisional license is another step in the entire application process to full licensure.

B. Application— Part II – Full Licensure

15. If an applicant is issued a provisional license, the applicant must then complete the second part of the application process. The second part of the process involves, as described below, securing a location, notifying the respective CB or municipality, and then submitting certain information and documents to the Office, including information relating to the location. This is referred to as the Post-Selection Application. *See Conditional Adult-Use Retail Dispensary (CAURD) Frequently Asked Questions Completing Your CAURD Post-Selection Application*, attached hereto as **Exhibit B**. If a provisionally approved applicant fails to satisfy these remaining steps, the application will be deemed incomplete and voided, and the applicant will not be able to become licensed to operate.

a. Potential CAURD Location Selection

16. With respect to securing a dispensary location, in general, the provisionally approved applicant can: 1) accept an offer from the Office to use one of the potential locations secured by the Fund¹; or 2) propose their own retail dispensary location outside of Fund support.

17. To move forward on any location option, a provisionally approved applicant must complete the Office's CAURD Interest Location Survey. *CAURD Interest Location Survey*, attached hereto as **Exhibit C**.

18. If a provisionally approved applicant chose to pursue a Fund location, rather than secure one themselves, when a potential location becomes available, the Office sends

¹ CAURD licensees were eligible to receive state support through a fund referred to as the New York Social Equity Investment Fund (the "Fund"), a subsidiary of the Dormitory Authority of the State of New York, that secures and renovates locations (stores) that are potential sites where the CAURD licensees can operate as dispensaries. *See Governor Hochul Announces Major Progress Toward Advancing Equity in Cannabis*, June 22, 2022, attached hereto as **Exhibit D**.

correspondence with information about the location to provisionally approved applicants who are interested a Fund location. The provisionally approved applicants then have a set period of time to communicate with the Office expressing an interest in and acceptance of the Fund location.

b. Municipality or Community Board Notification

19. Once a provisionally approved applicant secures a location (whether on their own or through the Fund), they must provide notice to the local municipality where the retail dispensary is located:

Not less than thirty days nor more than two hundred seventy days before filing an application for licensure as an adult-use retail dispensary or registered organization adult-use cultivator processor distributor retail dispensary or an on-site consumption licensee, *an applicant shall notify the municipality in which the premises is located of such applicant's intent to file such an application.*

Cannabis Law § 76(1) (emphasis added); *see also Notification to Municipalities of Adult-Use Retail Dispensary or On-Site Consumption License*, attached hereto as **Exhibit E**.

20. The municipality notification form notifies the municipality or CB that it can provide the Board and Office with its opinion for or against the provisionally approved applicant being granted a full license within 30 days and provides the address to mail its response. *See id.* A municipality or CB may request an extension of time from the Office to respond to the notification. *See id.*

c. Post-Selection Application Submission to the Office

21. A complete Post-Selection Application is required before a provisionally approved applicant can even be considered to receive final approval to begin adult-use cannabis operations with a full license. *See Exhibit B* at 4-5. Only after the municipality or CB has been notified can the provisionally approved applicant complete the Post-Selection Application.

22. The Post-Selection Application requires the provisionally approved applicant to confirm that it notified the municipality or CB and to submit a copy of that notification. *See Conditional Adult-Use Retail Dispensary Post-Selection Application Mockup*, attached hereto as **Exhibit F**; *see also Exhibit B* at 4-5. Without this confirmation and proof of notification the Office will not continue to process the Post-Selection Application.

23. The Post-Selection Application also requires the provisionally approved applicant to submit information regarding its owners (among other persons involved in the license), site plans, sales tax certificates, insurance, staff and labor agreements, among other information. **Exhibit B** at 4-5.

24. Office staff reviews the Post-Selection Application to determine whether the provisionally approved applicant has completed all questions on the Post-Selection Application and submitted all additional required documents, that the application satisfies the application considerations set forth in the Cannabis Law and regulations, including Cannabis Law §§ 62, 64, 72, and 137, as well as all distance requirements under the regulations.

25. As described below, if the municipality or CB provides the Office with an opinion on the provisionally approved applicant within 30 days of when it was notified, or within the time period allowed if it requested an extension of time to respond, the Office will review the opinion, including negative recommendations from the community or contingent requirements placed by the community on the provisionally approved applicant and consider that opinion, and the opinion will be deemed part of the record upon which the Office and Board makes a determination to grant or deny the application for full licensure. *See State Requirements for Adult-Use Retail Dispensary Licensees*, attached hereto as **Exhibit G**.

C. Final Licensure Determination

26. After the Office's review of the Post-Selection Application (including all statutory and regulatory requirements), and after taking into account whether or not a municipality or CB submitted an opinion on the application (and whether that opinion was positive or negative), either the Board or the Office will decide whether to give final approval to an applicant.

27. Until the Office or Board decide that a provisionally approved applicant should be approved on a final basis, a provisionally approved applicant does not receive a certificate of licensure and they cannot begin to operate.

28. Once final approval is issued, the licensee must comply with the Office's regulations (including regulations for renewal).

The Adult-Use Application Windows and the Adult-Use Application

29. The application window for all license types (retail, microbusiness, cultivator, distributor, etc.) opened on October 4, 2023. The application window for applicants seeking a retail license with proof of control over a proposed premises from which they intend to operate closed on November 17, 2023 ("November Applications"). The application window for applicants who applied after November 17, 2023, or for a provisional license without proof of control over a premises closed on December 18, 2023 ("December Applications").

30. On December 7, 2023, the Office used a computer program to randomly sequence the November Applications to create the order in which OCM reviews the applications (the "queue"). See *Office of Cannabis Management Retail and Microbusiness Non-Provisional Adult-Use Application Queue October 4, 2023 – November 17, 2023*, attached hereto as **Exhibit H**.

31. CAURD applications are not part of the adult-use application windows and are not included/reviewed in the adult-use application queues since they had already submitted an

application in a prior application window and had been reviewed and processed according to that prior application/ licensing period.

32. All applicants must submit proof of control over a proposed premises to complete the application and be considered for a final license, except those applicants for retail dispensary and microbusiness licenses. *General Licensing Application Frequently Asked Questions*, attached hereto as **Exhibit I** at FAQ 44.

33. There are two paths for retail dispensary and microbusinesses (with retail authorization) to complete the adult-use application:

a) Provisional License: If an applicant does not have control over a premises at the time of application, the applicant may submit the application without these details and obtain a provisional license. After receiving a provisional license, the applicant may take up to twelve (12) months to submit proof of control over a premises. Once the Office reviews the additional information, a final license may be issued. As previously stated, only after a final license is issued with a license certificate can adult-use cannabis operations begin. **Exhibit I** at 4-5.

b) Final License: If an applicant already has control over the premises at the time of the application, whether by lease agreement, or ownership (as shown through a deed), the applicant may identify the premises on the application and submit a complete application for the Office's review. *Id.*

34. Just like with provisional CAURD licensees, a provisional license approval for (nonconditional) adult-use license does not authorize operating activities under the Cannabis Law, but it provides assurances to stakeholders, like investors, landlords, and lenders, that the application satisfies certain conditions necessary and relevant to the license type sought, subject to completion of outstanding items required to obtain a final license. In this way, the provisional license may help applicants secure a premises or funding for their cannabis operation before a final license is issued. *See id* at FAQ 7.

35. The adult-use application process, just like the CAURD application process described above, is a two-part application process. However, adult-use applicants had the

opportunity to combine the two parts by submitting one application with proof of control over their proposed license premises if they submitted their application by November 17, 2023 (but they were not required to do so). *Seeid.*

36. Furthermore, per the Adult Use (“AU”) regulations, the issuance of a provisional license does not require that the provisional licensee have a location. *See* 9 NYCRR § 118.1(a)(86).

Municipality Notification Requirements

37. Applicants must provide notice to the local municipality where the retail dispensary is located. Cannabis Law § 76(1) (emphasis added); *see also* **Exhibit B**, *see also* **Exhibit I**.

38. Furthermore, applicants applying for a provisional license (without proof of control over the proposed retail location) do not need to complete the notification to municipality at the time of initial application upload, since no location is associated with the application. Once a provisional licensee finds a location, they must complete the notification to municipality requirement in the same manner as an applicant applying with proof of control of a retail location that had chosen to complete both application steps contemporaneously. A notice to municipality form must be sent to the municipality in which the premise is located 30 days prior to the Office considering the application filed. **Exhibit I** at FAQ 103.

39. As such, there is no waiver of Cannabis Law § 76 as all applicants must provide municipality notification, but applicants may do so at different stages in the application process.

Petitioner Organic Blooms, LLC’s Application History

40. Petitioner Organic Blooms, LLC submitted a November Application for an adult-use retail dispensary, application OCMRETL-2023-000297, which is positioned at number 2117 in the November queue.

41. Petitioner Organic Blooms, LLC's application was approved for licensure. *See Petitioner Organic Blooms, LLC's License Certificate*, attached hereto as **Exhibit J**.

Petitioner Niagara Nugget, LLC's Application History

42. Petitioner Niagara Nugget, LLC submitted a December Application for an adult-use retail dispensary, application OCMRETL-2023-003939, which is positioned at number 2685 in the December queue.

43. Petitioner Niagara Nugget, LLC's application has not yet been assigned for review by the Office.

Petitioner Blackmark, LLC's Application History

44. Petitioner Blackmark, LLC submitted a November Application for an adult-use retail dispensary, application OCMRETL-2023-001859, which was positioned at number 1801 in the November queue.

45. Petitioner Blackmark, LLC also submitted a December Application for an adult-use retail dispensary, application OCMRETL-2023-000312, which is positioned at number 1366 in the December queue.

46. Petitioner Blackmark, LLC's November Application was reviewed and voided by the Office for failure to cure application deficiencies by the required deadline. *See Licensing Communication*, attached hereto as **Exhibit K**.

Petitioner Windward Management, LLC's Application History

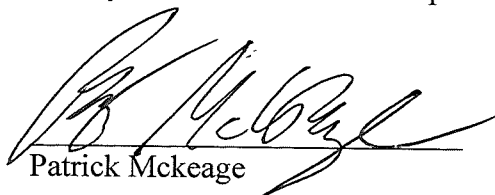
47. Petitioner Windward Management, LLC also submitted a November Application for an adult-use retail dispensary, application OCMRETL-2023-001729, which was positioned at number 1038 in the November queue.

48. Petitioner Windward Management, LLC's application was reviewed and voided by the Office for failure to cure application deficiencies by the required deadline. *See Licensing Communication*, attached hereto as **Exhibit L**.

Current Retail Licensing

49. To date: 904 unique CAURD applications were submitted and 355 have been licensed; 1,603 unique retail applications were submitted in the November queue and 809 have been licensed; and 3,664 unique retail and microbusiness applications were submitted in the December queue and 34 have been licensed.

I affirm this 12th day of June, 2026, under the penalties of perjury under the laws of New York, which may include a fine or imprisonment, that the foregoing is true, and I understand that this document may be filed in an action or proceeding in a court of law.


Patrick Mckeage